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Code No: 134AG

JAWAHARLAL NEHRU TECHNOLOGICAL UNIVERSITY HYDERABAD
B. Tech II Year II Semester Examinations, November/December - 2020
BUSINESS ECONOMICS AND FINANCIAL ANALYSIS
(Common to CE, EEE, ME, ECE, CSE, EIE, IT, MCT, MMT, ETM, AE, MIE, PTM, CEE, MSNT)

Time: 2 hours **Max. Marks: 75**

Answer any Five Questions
All Questions Carry Equal Marks
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1.a) What are the disciplines that have relevance to understanding of business economics?
b) With suitable examples explain how business economist's role is important to an organization. [8+7]

2.a) Discuss the factors affecting elasticity of demand.
b) Outline the determinants of supply. [7+8]

3. Compare and contrast the following:
a) Sunk cost versus Historical cost
b) incremental cost versus marginal cost.
c) Longrun versus short run cost. [5+5+5]

4.a) What are Personal, Real and Nominal accounts? What are the rules governing the entries to these accounts?
b) Discuss the elements of Financial statements. [9+6]

5.a) What are the various liquidity ratios? Explain briefly each of them.
b) The opening balance in debtors account is Rs. 75,000 and the closing balance is 1,05,000. The Sales for the year has been Rs. 25,00.000. Find out the debtors turnover ratio and collection period. [7+8]

6. Define Monopoly. Explain the features of oligopoly. [15]

7. From the following data calculate: a) inventory turn over ratio and b) average period of stock holding.

Sales	Rs. 25,00,000
Sales Returns	Rs. 1,25,000
Stock as on 1.1.2019	Rs. 4,80,000
Stock as on 31.12.2019	Rs. 3,60,000

[15]

8. Write short notes on:
a) Law of supply
b) Inflation
c) National Income. [5+5+5]

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